Articles in this section

- Compliance Program Overview
- Compliance Reporting & Tools
- Compliance Calendar
- Compliance Dispute Process
- Compliance Program - Additional Resources

Compliance Program Overview

Follow

This document will provide US Merchandising suppliers a complete overview of the compliance program's supplier expectations, metrics, and offsets.

Table of Contents:

- Compliance Program Summary
- Supplier Expectations
- Compliance Metrics Overview and Offsets
  - RDC, DFC, and DTS Fill Rate
  - RDC & DFC On-Time Shipping (Collect Shipments)
  - RDC & DFC On-Time Shipping (Prepaid Shipments)
  - ASN Timeliness
  - Fluid Receiving Barcode Reject Rate
  - US Dropship Fill Rate
  - US Dropship On-Time
  - Parcel Overmax
  - Parcel Mode & Service Level
  - LTL Routing Guide Collect
  - LTL Routing Guide Prepaid
  - Multiple Bill of Lading
  - Parcel PO
  - Data Quality Compliance (DQC)
- Essential Resources to Ensure Compliance
  - Compliance Reporting & Tools
  - Compliance Calendar
  - Compliance Dispute Process

- Go to Additional Resources
- Still Need Support?

Compliance Program Summary

In an effort to deliver the best customer experience and to support our stores and DCs, The Home Depot continually evaluates our internal processes as well as the performance of our suppliers. The goal of the Compliance Program is to increase in-stock levels while decreasing supply chain variability. This goal is accomplished by collaborating with our suppliers and addressing any issues that negatively impact the customer experience and/or product flow.

Monthly reporting will be available for suppliers to view their performance by Merchandise Vendor (MVendor) number and DC location inside the **Supplier Performance Management -SPM** tool located in Supplier Hub. Click here for SPM access and training.

Suppliers will be evaluated for the following metrics:

- Fill Rate
- On Time Shipping (Collect & Prepaid)
- ASN Timeliness
- Fluid Receiving Barcode
- Parcel Overmax
- Parcel Mode & Service Level
- LTL Routing Guide (Collect & Prepaid)
- Multiple Bill of Lading
- Parcel PO
- Data Quality (DQC)

Adhering to these principles allows an efficient and steady flow of goods that benefits store service, customer satisfaction, and sales.

Suppliers are also required to input product data through Item Data Management web base portal.

Suppliers may be subject to a financial penalty if their monthly performance does not meet or exceed The Home Depot's defined compliance threshold for each metric.

Performance is evaluated at a Merchandise Vendor level, however financial offsets will be applied at the Payables Vendor level. If a supplier disagrees with any non-compliant violations, the formal Non-Compliance Dispute Process must be followed. Click here Compliance Dispute Program Overview

Supplier Expectations

Please review the expectations below to ensure success in THD Compliance Program:

- Understand the performance requirements for all metrics
- Review performance on the Supplier Performance Management Tool regularly to identify performance improvement opportunities

- Root-cause any instances of poor performance and implement corrective action to prevent further non-compliance
- Become a proactive partner with THD support teams to collaboratively resolve issues and share best practices
- Suppliers are recommended to view the Vendor Compliance Certification Training (video). This training is to ensure all suppliers shipping to the RDC, DFC, and DTS platforms are aware of the compliance program and metrics requirements.

Compliance Metrics Overview and Offsets

The following is a summary of the Compliance metrics, expectations, and non-compliance financial offsets:

Program	Channels	Metric	THD Expectation/Threshold	Offset
DISTRIBUTION CENTERS	RDC/DFC/DTS	FILL RATE	Expectation 100%	10% of items not shipped
			Threshold 98%	
	RDC/DFC	ON-TIME SHIPPING (Collect & Prepaid)	Expectation 100%	***Collect Shipments** 10% COGS of items shipped late
			Threshold 90%	**Pre-Paid Shipments** 10% COGS of items shipped late
			** Each Collect Freight Term Shipment is considered On Time if the *criteria below is met. Collect = or > 3 Day VTT (VTT is PO Create Date to Estimated Ship Date)*	
	RDC/DFC	ASN TIMELINESS	Expectation 100%	$1,000 Missing ASN
			Threshold 100%	$250 Late ASN $100 Invalid/Missing TMS ID $350 Late ASN + Invalid/Missing TMS ID
	RDC	FLUID RECEIVING BARCODE	>1% and <2%	$5 per carton (max 1% of COGS*)
			>2%	$10 per carton (max 1% of COGS*)

Program	Channels	Metric	THD Expectation/Threshold	Offset
DATA QUALITY	All Channels	DQC Specs & Digital Images	Expectation 100%	$1,000 per Item and caps at 1% of Avg Wkly COGS
		DQC Supply Chain	Threshold 100%	
		DQC Hazmat		
TRANSPORTATION	RDC/DFC/DTS	LTL ROUTING GUIDE-All THD Facilities (Collect & Prepaid)	Expectation 100%	$250 per LTL violation
			Threshold 100%	
	Ship to Customer	LTL ROUTING GUIDE-Dropship (Collect & Prepaid)	Expectation 100%	$100 per LTL violation
			Threshold 100%	
	RDC/DFC/DTS	MULTIPLE BILL OF LADING	Expectation 100%	$75 per LTL PRO
			Threshold 100%	
	RDC/DFC/DTS	PARCEL PO	Expectation 100%	$10 per parcel tracking number
			Threshold 100%	

Program	Metric	THD Expectation/Threshold	Offset
US DROPSHIP	FILL RATE	Expectation 100%	10% of the gross value
		Threshold > or = 98.5%	
	ON-TIME SHIPPING	Expectation 100%	10% of the gross value
		Threshold >or = 95%	
	PARCEL OVERMAX	Expectation 100%	$350 per package/shipment
		Threshold 100%	
	Parcel Overmax - Package	Length - Girth >165"	
		Longest Side >108	
		Individual Package Weight >150 lbs	
	Parcel Overmax - Shipment	Carton Count >25 cartons	
		Total Shipment Weight > 500 lbs	

Program	Metric	THD Expectation/Threshold	Rithum (CHUB) Order Details Browser	Carrier Mode	Carrier Service Level	Offset
US DROPSHIP (Parcel Mode & Service Level)	PARCEL MODE & SERVICE LEVEL	Mode Violation: Orders shipped LTL instead of assigned parcel / Service Level Violation: Orders shipped using the incorrect service level				
	EDI 850 (Integrated)					$30 per package (Tracking Number)
	UNSP_CG	Expectation 100%	Ground (carrier not specified)	Parcel	UPS or FedEx Ground	
	UNSP_SE		2nd Day (carrier not specified)	Parcel	UPS or FedEx 2nd Day	
	UNSP_ND	Threshold 100%	Overnight (carrier not specified)	Parcel	UPS or FedEx Next Day Air	
	MCC		Miscellaneous Common Carrier	LTL	refer to LTL RG	
	LTL_G2; LTL_DS; LTL_R2		LTL Basic; Threshold; Room Choice, Unpack	VDH	Home Delivery	

Channels:

- ***RDC:*** *Rapid Deployment Center*
- ***DFC:*** *Direct Fulfilment Center*
- ***DTS:*** *Direct To Store*
- ***Dropship:*** *Direct To Customer*

RDC, DFC, and DTS Fill Rate

Definition: PO considered filled when all SKU quantities ordered on a PO are received at the THD facility.

Threshold: 98%

Monthly Calculation:

- Aggregation of weekly data
- Evaluates POs that were expected to arrive during fiscal month
  - Click here for THD fiscal monthly calendar
- Evaluates POs over an 8-week assessment window beginning the week the PO is expected to arrive at the THD facility
- Quantity Received / Quantity Ordered on PO
- Example below is for a PO with an expected arrival date in FW1 2025

FW 202501	Fill Rate Metric
202501	Forecasted
202502	Forecasted
202503	Forecasted
202504	Forecasted
202505	Forecasted
202506	Forecasted
202507	Forecasted
202508	Actualized

Offset:

Suppliers will be subject to a financial penalty if Actualized Fill Rate does not meet or exceed the 98% threshold. Performance is evaluated at a monthly Merchandise Vendor level, however financial offsets will be applied at the Payables Vendor level. Each unit not shipped will be assessed a financial offset equal to 10% of the value of the unshipped unit.

RDC & DFC On-Time Shipping (Collect Shipments)

Definition: Each Collect Freight Term Shipment is considered On Time if the criteria below is met.

- **See Ready to Ship (RTS) / Request for Routing (RFR) TMS Requirements defined below.**

Notes:

The **Ship by Date** (aka Estimated Ship Date) = PO Create Date + Vendor Turn Time (VTT)

The Vendor Turn Time (VTT) is calculated differently for SYNC and Non-SYNC orders. The two VTTs may not be aligned.

- **Non-SYNC VTT** is based on the Shipping Terms outlined in the Supplier Buying Agreement (SBA). Managed by the Merchandising Team.

- **SYNC VTT** is determined by the Engineered Flow Schedule (EFS). Managed by the Channel Management Team.

Threshold: 90%

Monthly Calculation:

10% of COGS of the SKU (line item) for the late shipment

Ready to Ship (RTS) / Request for Routing (RFR) TMS Requirements:

1. Mark the PO RTS/RFR in TMS by 11am local time, 2 business days prior to the PO Ship by Date. For EDI mapping purposes, the PO "Ship by Date" can be found in the **DTM*038** segment of the EDI 850 PO transmission.
   - This 2-day window allows time for carrier to schedule pickups.
   - Home Depot does support EDI 753/754 documents, and you can begin the onboarding process by sending an email to TMS_T2S@homedepot.com. This process requires EDI certification with our B2B partners.
2. The pickup date request in TMS must be on or before the Ship Date on the PO and should remain unchanged even if the carrier experiences delays.
   - Any change to the "pickup request date" after the initial RTS submission should be submitted through Vendor PlanEx.

3. The supplier populates the freight bill field of the ASN (REF*CN segment) with the correct TMS Shipment ID number; the Shipment ID number is available in TMS after the RTS is submitted and the carrier accepts the shipment. *Please note: Populating this information is critical because this correctly associates a shipment in both TMS and on the ASN.*

Other Requirements

- For Full Truck Loads (FTL) be sure to follow TMS or PlanEx for carrier routing instructions.
- For Less than Truck Load (LTL) contact the appropriate LTL carrier to schedule a pick-up on the **Ship by Date on the PO.** Carrier information can be found on the Home Depot Routing Guide. Click here for the Routing Guide.
- The **Advanced Ship Notice** (ASN) is an EDI formatted notification (packing list) of pending inbound deliveries to The Home Depot. It should be sent as soon as the trailer is sealed.

Example: *THD cuts 2 POs which the supplier sends in two shipments each (total of 4 shipments). The supplier uses TMS and marks shipments A and B Ready to Ship before 11 AM on the date the PO is created.*

PO#	Shipment#	PO Create Date	RTS Date	Pickup Request Date	Actual Ship Date	Arrived by Estimated Delivery Date	On Time %	Shipment Value	Offset
123	A	2/3/2014	02/03 before 11am	2/5/2014	2/5/2014	Yes	100%	$500	No Offset
123	B	2/3/2014	02/03 before 11am	2/5/2014	2/6/2014	No	100%	$500	No Offset

- Shipment B is considered On Time even though the carrier picked up late because the supplier followed TMS guidelines.

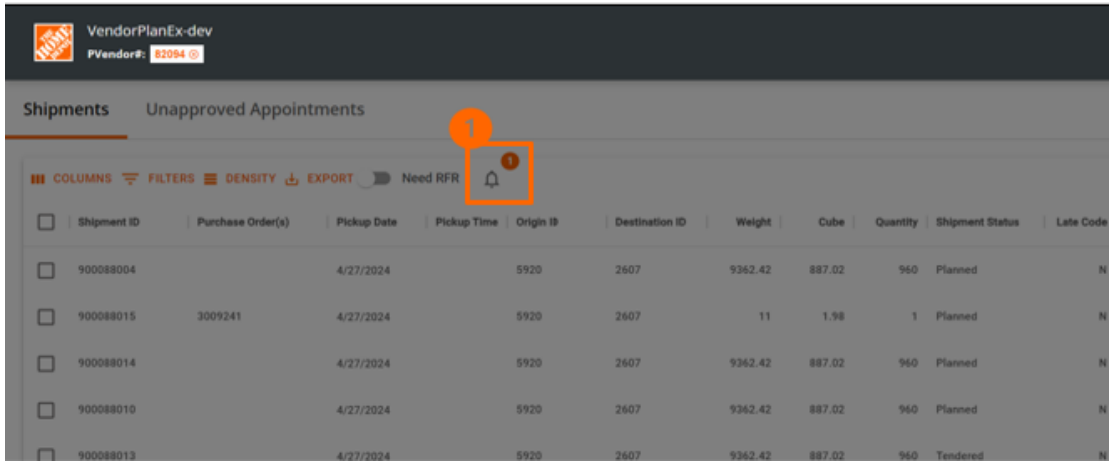
SYNC Orders

- The **Actual Ship Date** must be on or before the **Estimated Ship Date**
- If the actual ship date is after the estimated ship date (non- compliant line):
  - Reschedule is True = "V" code (Vendor delayed shipment, an offset is assessed)

- Reschedule is False = "H" code (Home Depot caused delay, offset Not assessed)

Managing and Disputing Late Shipment - V Codes (Vendor Driven Delay)

- A carrier may submit that it is the Vendor's fault for a late Pickup when processing a pickup date change.
- In this case, the Vendor is provided a chance to dispute that it is their fault so that they are not liable for the late pickup fines.



- Click the notification bell to see any shipments that have been V-Coded by the carrier in the past 2 business days.
- Click the shipment notification to go to the shipment details page and see the change details.
- Shipments will drop off of this window after 2 business day. **Suppliers must dispute Carrier V-Code within 48 business hours within the Vendor PlanEx tool.**
- **Multi-stop** shipments are not able to be managed through the Vendor PlanEx dispute process.
  - If a carrier is late on a **multi-stop** shipment, **please submit a "Carrier Missed Pickup" support ticket within 48 hrs.**
  - ***Click here*** to submit a support ticket to Transportation and attach any documentation that is proof of the carrier failure.

RDC & DFC On-Time Shipping (Prepaid Shipments)

Definition: Each Prepaid Shipment is considered on-time if the following requirement is met:

- Trailer Check-In timestamp is on or before the Expected Delivery Date on the PO

Threshold: 90%

Monthly Calculation:

- 10% of COGS of the SKU (line item) for the late shipment

Offset: Each shipment identified as having an On-Time violation will be assessed a financial offset equal to 10% of the gross value of the late shipment.

Example: *THD cuts 1 POs which the supplier sends in 3 shipments. 2 of the shipments are checked in at the RDC on/before the Estimated Delivery Date on the PO and the other is not. The On-Time performance for this supplier is 66.7% (2 On-Time shipments / 3 shipments); this is below the 90% threshold, so an offset is applied. Each shipment had a value of $500. Therefore, the total offset will be $50 ($500 x 10%).*

ASN Timeliness

Definition: Each shipment is considered to meet ASN Timeliness if the ASN (EDI 856) Transmission is received before the Trailer Check in Timestamp, and if the TMS Shipment ID is correct.

Considering POs can potentially span multiple truckloads, ASN Timeliness is measured at the shipment level. Per the RDC requirements, **one** ASN per truck must be transmitted. All shipments will be measured separately per ASN.

Missing ASN

- ASN not received before receiving (key rec) begins at the DC

Late ASN

- ASN received after the Trailer Check-In timestamp, but before receiving (key rec) begins

TMS Utilization

- No TMS Shipment ID** on the ASN, or
- Incorrect TMS Shipment ID** on the ASN

**Shipment ID Creation

- All collect shipments **(including Parcel)** must be marked as "Ready to Ship"(RTS) in TMS (or Request for Routing (RFR) in Vendor PlanEx
- After a shipment is marked RTS (or RFR), a Shipment ID is created
- The Shipment ID must be placed in the Ref*CN segment of the ASN

Threshold: 100%

Monthly Calculation:

- Aggregation of weekly data

Offset:

- Missing ASN offset is $1,000 per shipment
- Late ASN offset is $250 per shipment
- TMS Utilization is $100 per shipment
- TMS Utilization and Late ASN is $350 per shipment

Ship Nbr	ASN Nbr	ASN Received	Trailer Check-In Timestamp	TMS Ship ID	ASN Status	Key Rec	Offset
Ship 1	ASN 1	Oct 4, 2023, 2:00 PM	Oct 4, 2023, 3:05 PM	Accurate TMS Ship id	On Time	Oct 5, 2023	$0
Ship 2	ASN 2	Oct 4, 2023, 2:15 PM	Oct 4, 2023, 3:30 PM	Accurate TMS Ship id	On Time	Oct 5, 2023	$0
Ship 3	ASN 3	Oct 11, 2023, 9:00 AM	Oct 11, 2023, 11:00 AM	Accurate TMS Ship ID	On Time	Oct 12, 2023	$0
Ship 4	ASN 4	Oct 12, 2023, 10:00 AM	Oct 12, 2023, 11:00 AM	Accurate TMS Ship ID	On Time	Oct 12,2023	$0
Ship 5	ASN 5	No ASN	Oct 28, 2023, 1:00 PM	N/A	Missing	Oct 30, 2023	**$1,000**
Ship 6	ASN 6	Oct 15, 2023,	Oct 15, 2023,	Accurate TMS Ship ID	**Late**	Oct 17, 2023	**$250**

		3:00PM	1:00PM				
Ship 7	ASN 7	Oct 6, 2023, 3:00PM	Oct 6, 2023, 1:00PM	Incorrect TMS Ship ID	**Incorrect/ Missing TMS Ship ID and Late**	Oct 7, 2023	**$350**
Ship 8	ASN 8	Oct 20, 2023, 1:00PM	Oct 20, 2023, 3:00PM	Incorrect TMS Ship ID	**Incorrect/Missing TMS Ship ID**	Oct 20, 2023	**$100**
Monthly Performance					**4/8 = 50%**		**-$1,700**

Example:

- *Shipments 1-4: ASN Transmission is received before the Trailer Check in Timestamp, and the TMS Ship ID is correct, offsets are not assessed for these shipments.*
- *Shipment 5 **ASN Missing**, ASN not received before key receipt began. The trailer arrived on 10/28/2023, the manual key rec occurred on 10/30/2023, ASN has not arrived at the time of the manual key receipt.*
- *Shipment 6, **ASN Late, ASN** received after the Trailer Check in Timestamp, but before key rec began, and the TMS Ship ID is correct.*
- *Shipment 7, **Incorrect/Missing TMS Ship ID + Late ASN**, ASN received after the Trailer Check-in Timestamp, the TMS Ship ID is incorrect/missing.*
- *Shipment 8, **Incorrect/Missing TMS Ship ID**, ASN received before trailer check in timestamp, the TMS Ship ID is incorrect/missing.*

In evaluating the 8 shipments/ASNs, 4 non-compliant shipments/ASNs the performance is below the 100% threshold (performance 50%). Therefore, an offset will be assessed at a total of $1,700 for Missing ASN $1000, Late ASN $250, Incorrect/Missing TMS Ship ID + Late ASN $350, Missing TMS Ship ID $100.

Fluid Receiving Barcode Reject Rate

RDC Fluid receiving barcode compliance is driven through reporting and monthly fines for poor performance for barcode labels that are unable to be scanned by THD RDC fluid receiving lines. Benefits of fluid receiving are as follows:

- Faster flow through DC and reduced lead time to the stores
- Labor savings at the DC through a reduction of Force Prints due to rejects
- Increased receiving accuracy by increased utilization of Fluid Receiving lines

Each fiscal month[1]THD will evaluate the reject rate performance of each applicable Merchandise Vendor (MVendor). All SKUs that are thrown on the RDC Fluid Receiving lines will be subject to this

compliance program. This will include domestic and import products.

In the event a Merchandise Vendor's average monthly performance fails to meet the compliance threshold, defined in this policy, the applicable MVendor will be assessed an offset. A financial offset debit[2] is processed on the next supplier payment. The offset debit will be indicated by a non-compliance code on the remittance advice.

[1] Fiscal Month is defined by THD's fiscal calendar. Please reference THD fiscal calendar in Supplier Hub to determine the fiscal weeks contained within each fiscal month.

[2] Financial Offset Debit refers to the financial deduction associated with non-compliance performance. This debit will be processed on the next vendor payment following the end of the non-compliance dispute process.

Label Reject Rate

Definition: Total number of no read cartons (aka forced print) divided by the total number of cartons shipped. Offsets will be based on a total performance for the fiscal month.

Forced print reason codes (associates can only select one):

- Barcode damaged: wrinkled, scratched, cut, ripped, ink/marker through bars, poor adhesive
- No barcode: no barcode to read
- Barcode covered: covered by tape, banding, shrink-wrap
- Poor print quality: ink is smudged, smeared, faded, bars are broken or misaligned
- Barcode size: minimum height of 0.75 inches tall

Requirement: Under 1% Reject Rate (Threshold)

Offset: There is a tiered offset structure based on the below performance table:

Reject Rate	Fine Assessed
<1%	$0
>1% and < 2%	$5 per carton (max 1% of COGs)
>2%	$10 per carton (max 1% of COGs)

If the calculated penalty is less than 1% of the average monthly RDC Cost of Goods Sold (COGS) for the preceding month, the supplier shall pay the full penalty amount. If the penalty exceeds the COGS threshold, the supplier's liability shall be capped at the COGS limit.

Examples:

- THD receives 38 shipments across 5 RDCs for Vendor X in the fiscal month February. THD receives 18,861 cartons and 323 cannot be read by the scanners requiring us to stop the line and force print

- The reject rate is 323 / 18,861 or 1.7%.
- Since it's over 1%, but under 2%, the offset will be $5 per carton. This is 323 x $5 = $1,615
- The average monthly RDC COGs for Vendor X for the previous fiscal quarter (Q4) is $600,000. So, the offset limit is 1% or $6,000 for the month.
- Since the offset is less than the offset limit, Vendor X is responsible for a $1,615

- THD receives 226 shipments from Vendor Y in the fiscal month of July. THD receives 720,200 cartons and 18,152 were not read by the scanner
  - The reject rate is 18,152 / 720,200 = 2.52%
  - Since it's over 2%, the offset will be $10 per carton. This is 18,152 x $10 = $181,520.
  - The average monthly RDC COGs for Vendor Y for the previous fiscal quarter (Q2) is $16,000,000. So, the offset limit is 1% or $160,000 for the month.
  - Since the projected offset exceeds the offset limit, Vendor Y is responsible for a $160,000 offset.

Click here **for Detailed Barcode Requirements Overview**

US Dropship Fill Rate

Definition

Fill Rate =

$$\frac{\text{Lines ship confirmed + Merchant Request cancel lines}}{\text{Lines closed in Rithum}}$$

Violation

Line items cancelled in Rithum for any reason other than Merchant Request (e.g. out of stock, discontinued)

Threshold

≥ 98.5% total monthly shipments

Offset

If supplier performs below threshold for evaluated month, each line item identified as a cancelled shipment will incur a financial offset equal to 10% of the gross value of that line item.

Offset Methodology Example:

Assuming a total of 4 closed line items for a given month the first 2 line items were ship confirmed and the last 2 line items were cancelled because the item was discontinued.

This results in a 50% fill rate (2 line item shipped / 4 line items closed = 50%).

Line Item #	Line Item Status	Line Item Value	Offset
# 1	Shipment Confirmed	$100	No Violation
# 2	Shipment Confirmed	$100	No Violation
# 3	Cancelled	$100	$100 * 10%=$10
# 4	Cancelled	$200	$200 * 10%=$20
Monthly Performance	2 / 4 = 50%		($30)

Click here for Frequently Asked Questions/FAQs

US Dropship On-Time

Definition

On-Time =

$$\frac{\text{Lines ship confirmed before/on expected ship date}}{\text{Lines ship confirmed in Rithum}}$$

Violation

Line items shipped after the expected ship date

Threshold

≥ 95% total monthly shipments

Offset

If supplier performs below threshold for evaluated month, each line item identified as a late shipment will incur a financial offset equal to 10% of the gross value of that line item.

Offset Methodology Example:

Assuming a total of 4 closed line items for a given month, the first 3 line items were ship confirmed before the Expected Ship Date. Line #4 was ship confirmed after the Expected Ship Date.

This results in a 75% on-time ship rate (3 on-time line items / 4 total line items = 75% on time).

Line Item #	Ship Confirm Date	Expected Ship Date	On Time Status	Line Item Value	Offset
# 1	2-Feb-2020	3-Feb-2020	On Time	$100	No Violation
# 2	2-Feb-2020	3-Feb-2020	On TIme	$100	No Violation
# 3	2-Feb-2020	4-Feb-2020	On Time	$100	No Violation
# 4	2-Feb-2020	27-Jan-2020	Late	$100	$100 * 10%=$10
Monthly Performance			3 / 4 = 75%		($10)

This falls below the 95% requirement threshold resulting in an offset. Late line item #4 had a total cost amount of $100.

Therefore, the total offset will be $10.

($100 X 10% = $10)

Parcel Overmax

Overmax Methodology

Definition:

Dropship package/shipment that exceeds parcel carriers' dimension limitation.

Violation Types:

Package (single tracking number) or shipment (for each carrier pickup, all tracking numbers within a particular PO#) exceed 1+ of the following:

Package	Length + Girth	> 165"
	Longest Side	> 108"
	Individual Package Weight	> 150 lbs
Shipment	Carton Count	> 25 cartons
	Total Shipment Weight	> 500 lbs

Threshold: 100%

Offset: $300 per package/shipment

Offset Methodology Example:

Assuming a total of 5 packages via 3 shipments for a given quarter, 3 Overmax offsets were recorded: 2 packages and 1 shipment.

Shipment #	Package #	Overmax Status	Offset
1	1	Overmax Package	$350
1	2	Overmax Package	$350
1	3	Not Overmax	No Violation
2	4	Overmax Shipment	$350
3	5	Not Overmax	No Violation
Quarterly Performance		3 / 5 = 60%	($1,050)

$1,050 ($350 + $350 + $350 = $1,050)

Click here to access Frequently Asked Questions/FAQs

Parcel Mode & Service Level

Overview

Definition

To measure and keep vendors accountable for selecting the correct transportation mode and service for dropship deliveries

- **Mode violation:** Orders shipped LTL instead of assigned parcel
- **Service Level Violation:** Orders shipped using the incorrect service level

Rithum Expected Shipping Methods

EDI 850 (Integrated)	CHUB Order Details (Browser)	Carrier Mode	Carrier Servic
UNSP_CG	Ground (carrier not specified)	Parcel	UPS or Fe Ground
UNSP_SE	2nd Day (carrier not specified)	Parcel	UPS or FedE Day
UNSP_ND	Overnight (carrier not specified)	Parcel	UPS or FedE Day Air
MCC	Miscellaneous Common Carrier	LTL	Refer to LT
LTL_G2; LTL_DS; LTL_R2	LTL Basic; Threshold; Room Choice, Unpack	Bundled	Home Deli

***FedEx Shipping Method**

- Refer to the chart below if the selected shipping service level is FedEx Ground

FedEx Service Level	Address Type	Shipping Type
FedEx Ground	Residential	Home Delivery
	Commercial	Ground

Threshold: 100%

Offset: $30 per package (Tracking Number)

Offset Methodology Example

Assuming a total of 5 packages (distinct tracking numbers), 3 mode & service level violations were recorded

Package #	Suggested Mode and Service Level	Actual Mode and Service Level	Offset
1	Parcel Ground	LTL	$30
2	Parcel 2nd Day	UPS 2nd Day	No Violation
3	Parcel Ground	FedEx 2nd Day	$30
4	Parcel 2nd Day	FedEx Next Day Air	$30
5	Parcel Ground	Parcel Ground	No Violation

Quarterly Performance		($90)

Because the threshold is 100%, each package non-compliant with mode and service levels results in a $30 offset. Therefore, the total offset will be $90. ($30 + $30 + $30 = $90)

FedEX: Commercial vs. Residential Indicator

For FedEx shipments only: Reference the PO for the service level indicating a commercial or residential destination address

- Use **FedEx Home Delivery®** for residential small package
  - Integrated files will say "1" (see Rithum Resource Center for EDI specifications)
  - Rithum Packing Slip "Address Type" will say "Residential"
  - If indicator field is blank, ship FedEx Home Delivery for Ship To Home orders
  - Example Ship Confirm SCAC code: **FEDH**
- Use **FedEx Ground®** for small packages shipped to a Home Depot retail store or other commercial addresses
  - Integrated files will say "2" (see Rithum Resource Center for EDI specifications)
  - Rithum Packing Slip "Address Type" will say "Commercial"
  - If indicator field is blank, ship FedEx Ground for Ship to THD Store orders
  - Example Ship Confirm SCAC Code: **FDEG**

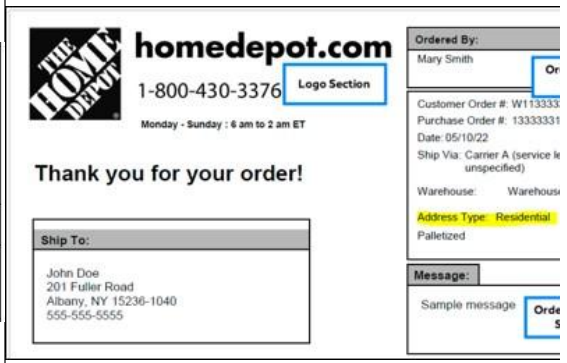
Integrated Suppliers

- To access details, log into OrderStreamResource Center EDI Guides or Delimited Guides or XML Guides. The Home Depot Purchase Order (PDF)

Commercial/ Residential Indicator	Delimited	Field 178 of the ORPO Record	OR|PO|3084759363|100010099||merchid|12345||20210815|2||||||||||||||||vendornote|vendwarehsid||12345|||||12345678901234567|||||20220505|||||||||12345||UNSP||||||Addr1|Addr2|Addr3|city|state|12345||USA|555-555-5555|||99999|||||||John Doe|||addr1|addr2|addr3|city|state|12345||USA|555 5555555|||||||John Doe |||addr1|addr2|addr3|city|state|12345||USA|555 5555555||email|1234567|||gift message||||||||||||||||invoicename|||||||||||||99999||123456789||||||||||||||||GS1-128||0001|1234|||||||2|	**1 –** Residential **2 -** Commercial
	EDI	1.0360.N1~.ST~ .PER.RS~.09.0443.~~~~	PER*RS*2~	
	XML	<OrderMessageBatch> <hubOrder> <personPlace> <addressRateClass>	<addressRateClass>2</addressRateClass>	

Browser Suppliers:

- Rithum Packing Slip "Address Type" will say "Residential



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LTL Routing Guide Collect

Definition:

Each Collect shipment is considered to meet Routing Guide performance if shipped by the prescribed LTL carrier as defined by the "**Collect LTL Routing Guide**".

- Dept. 23 flooring shipments from Georgia that require a Pole Lift Truck are required to use **The Home Depot Collect Carpet Routing Guide**
- LTL shipments that are assigned to a Backhaul Carrier, DIB (Dedicated Inbound) or destined for an IFC must be shipped by the LTL carrier assigned in TMS.

Performance Requirement: 100%

Offset:

Each shipment identified as having a violation will be assessed a financial offset of $250 Violation

Example:

Supplier IB to DC/Store	Residential Delivery Carrier	Origin State	Origin Country	Destination State	Destination Country	Effective Date	Expiration Date	First Mile Avg	Residential Delivery Avg
EXLA	ABFS	AR	USA	MO	USA	3/1/25	2/28/27	2	2
AACT	AACT	AR	USA	MS	USA	3/1/25	2/28/27	2	2
AACT	AACT	AR	USA	MT	USA	3/1/25	2/28/27	6	6
EXLA	EXLA	AR	USA	NB	CAN	3/1/25	2/28/27	4	4
AACT	AACT	AR	USA	NC	USA	3/1/25	2/28/27	3	3
AACT	AACT	AR	USA	NCA	USA	3/1/25	2/28/27	4	4
AACT	AACT	AR	USA	ND	USA	3/1/25	2/28/27	5	5
EXLA	ABFS	AR	USA	NE	USA	3/1/25	2/28/27	4	2
CTII	CTII	AR	USA	NH	USA	3/1/25	2/28/27	5	5
CTII	CTII	AR	USA	NJ	USA	3/1/25	2/28/27	4	4
EXLA	EXLA	AR	USA	NL	CAN	3/1/25	2/28/27	7	7
ABFS	ABFS	AR	USA	NM	USA	3/1/25	2/28/27	3	3
EXLA	EXLA	AR	USA	NS	CAN	3/1/25	2/28/27	4	4
EXLA	EXLA	AR	USA	NT	CAN	3/1/25	2/28/27	10	10
EXLA	EXLA	AR	USA	NU	CAN	3/1/25	2/28/27	10	10
ABFS	ABFS	AR	USA	NV	USA	3/1/25	2/28/27	4	4
CTII	CTII	AR	USA	NY	USA	3/1/25	2/28/27	5	5
RNLO	ABFS	AR	USA	OH	USA	3/1/25	2/28/27	2	3
CTII	CTII	AR	USA	OK	USA	3/1/25	2/28/27	2	2
EXLA	EXLA	AR	USA	ON	CAN	3/1/25	2/28/27	3	3
CTII	CTII	AR	USA	OR	USA	3/1/25	2/28/27	7	7
CTII	CTII	AR	USA	PA	USA	3/1/25	2/28/27	4	4
EXLA	EXLA	AR	USA	PE	CAN	3/1/25	2/28/27	5	5
EXLA	EXLA	AR	USA	QC	CAN	3/1/25	2/28/27	3	3
CTII	CTII	AR	USA	RI	USA	3/1/25	2/28/27	4	4
CTII	CTII	AR	USA	SC	USA	3/1/25	2/28/27	4	4
AACT	AACT	AR	USA	SCA	USA	3/1/25	2/28/27	4	4
AACT	AACT	AR	USA	SD	USA	3/1/25	2/28/27	5	5
EXLA	EXLA	AR	USA	SK	CAN	3/1/25	2/28/27	5	5
AACT	AACT	AR	USA	TN	USA	3/1/25	2/28/27	2	2
CTII	CTII	AR	USA	TX	USA	3/1/25	2/28/27	2	2
CTII	CTII	AR	USA	UT	USA	3/1/25	2/28/27	4	4
CTII	CTII	AR	USA	VA	USA	3/1/25	2/28/27	4	4
CTII	CTII	AR	USA	VT	USA	3/1/25	2/28/27	5	5
CTII	CTII	AR	USA	WA	USA	3/1/25	2/28/27	7	7
CTII	CTII	AR	USA	WI	USA	3/1/25	2/28/27	4	4
RNLO	ABFS	AR	USA	WV	USA	3/1/25	2/28/27	3	4
AACT	AACT	AR	USA	WY	USA	3/1/25	2/28/27	6	6
EXLA	EXLA	AR	USA	YT	CAN	3/1/25	2/28/27	10	10
EXLA	EXLA	AZ	USA	AB	CAN	3/1/25	2/28/27	5	5
CTII	CTII	AZ	USA	AL	USA	3/1/25	2/28/27	4	4

THD Collect Suppliers:
We have split California into two separate lanes as North California and South California for both origin and destination. Please make sure to look at the tab "California Region Legend" to identify whether you are shipping out of NCA or SCA and also whether you are shipping into NCA or SCA. Carriers may differ between North and South California, so it's important that you choose the correct California lane.

THD Collect Suppliers:
Please choose your origin state for the shipping facility in question in this drop down box. You can then see your LTL carrier lane assignments grouped by carrier.

If you ship out of the GA-367 or GA-381 zip code cluster, please choose GA-367 or GA-381 as your origin state.

If you ship out of North or South California, please choose NCA or SCA as your origin state. The tab "California Region Legend" will give you the 3 digit zip that will identify whether you are located in NCA or SCA.

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LTL Routing Guide Prepaid

Definition:

Each Prepaid shipment is considered to meet Routing Guide performance if shipped by the prescribed LTL carrier as defined by the "**Prepaid LTL Routing Guide**".

Performance Requirement: 100%

Offset:

Each shipment identified as having a violation will be assessed a financial offset of $250

Violation Example:

A supplier ships an LTL PRO Prepaid to AL and utilizes XGSI of AACT, ABFS, CTII, EXLA, RNLO, SAIA, or SEFL

Destination State	THD Core Carriers Approved to Deliver to the Destination State									
AL	AACT	ABFS	CTII	EXLA	RNLO	SAIA	SEFL			
AR	AACT	ABFS	CTII	EXLA	RNLO	SEFL				
AZ	ABFS	CTII	DCHA	EXLA	RNLO	SAIA	XGSI			
CA	AACT	ABFS	CTII	DCHA	EXLA	RNLO	SAIA	XGSI		
CO	ABFS	CTII	EXLA	RNLO	SAIA	XGSI				
CT	ABFS	BXID	CTII	EXLA	PYLE	RNLO	SAIA	XGSI		
DC	ABFS	BXID	CTII	EXLA	PYLE	RNLO	SAIA	XGSI		
DE	ABFS	BXID	CTII	EXLA	PITD	PYLE	RNLO	XGSI		
FL	AACT	ABFS	CTII	EXLA	RNLO	SAIA	SEFL	XGSI		
GA	AACT	ABFS	CTII	EXLA	RNLO	SAIA	SEFL			
HI	EXLA									
IA	AACT	ABFS	BXID	CTII	DAFG	EXLA	RNLO	SAIA	XGSI	
ID	AACT	ABFS	CTII	EXLA	RNLO	SAIA	XGSI			
IL	AACT	ABFS	BXID	CTII	DAFG	EXLA	RNLO	SAIA	XGSI	
IN	AACT	ABFS	BXID	CTII	DAFG	EXLA	PITD	RNLO	SAIA	XGSI
KS	ABFS	CTII	EXLA	RNLO	SAIA	XGSI				
KY	ABFS	CTII	DAFG	EXLA	RNLO	SAIA	XGSI			
LA	AACT	ABFS	CTII	EXLA	RNLO	SAIA	SEFL			
MA	ABFS	BXID	CTII	EXLA	PYLE	RNLO	SAIA	XGSI		
MD	ABFS	BXID	CTII	EXLA	PITD	PYLE	RNLO	SAIA	XGSI	
ME	ABFS	BXID	CTII	EXLA	PYLE	RNLO	SAIA	XGSI		
MI	ABFS	BXID	CTII	DAFG	EXLA	RNLO	SAIA	XGSI		
MN	AACT	ABFS	BXID	CTII	DAFG	EXLA	RNLO	SAIA	XGSI	
MO	ABFS	CTII	DAFG	EXLA	RNLO	SAIA	XGSI			
MS	AACT	ABFS	CTII	EXLA	RNLO	SAIA	SEFL			
MT	AACT	ABFS	CTII	EXLA	RNLO	SAIA	XGSI			
NC	AACT	ABFS	CTII	EXLA	RNLO	SEFL	XGSI			
ND	AACT	ABFS	BXID	CTII	EXLA					
NE	ABFS	CTII	EXLA	RNLO	SAIA	XGSI				
NH	ABFS	BXID	CTII	EXLA	PYLE	RNLO	SAIA	XGSI		
NJ	ABFS	BXID	CTII	EXLA	PITD	PYLE	RNLO	SAIA	XGSI	
NM	ABFS	CTII	EXLA	RNLO	SAIA	XGSI				
NV	ABFS	CTII	DCHA	EXLA	RNLO	SAIA	XGSI			
NY	ABFS	BXID	CTII	EXLA	PYLE	RNLO	SAIA	XGSI		
OH	ABFS	CTII	DAFG	EXLA	PITD	RNLO	SAIA	XGSI		
OK	ABFS	CTII	EXLA	RNLO	SAIA	SEFL	XGSI			
OR	AACT	ABFS	CTII	EXLA	RNLO	SAIA	XGSI			
PA	ABFS	BXID	CTII	EXLA	PITD	PYLE	RNLO	XGSI		
RI	ABFS	BXID	CTII	EXLA	PYLE	RNLO	XGSI			
SC	AACT	ABFS	CTII	EXLA	RNLO	SEFL				
SD	AACT	ABFS	BXID	CTII	EXLA	RNLO	SAIA			
TN	AACT	ABFS	CTII	DAFG	EXLA	RNLO	SAIA	SEFL		
TX	AACT	ABFS	CTII	EXLA	RNLO	SAIA	SEFL	XGSI		
UT	ABFS	CTII	EXLA	RNLO	SAIA	XGSI				
VA	ABFS	CTII	EXLA	PYLE	RNLO	SAIA	SEFL			
VT	ABFS	BXID	CTII	EXLA	PYLE	RNLO	XGSI			
WA	AACT	ABFS	CTII	EXLA	RNLO	SAIA	XGSI			
WI	ABFS	BXID	CTII	DAFG	EXLA	RNLO	SAIA	XGSI		
WV	ABFS	CTII	EXLA	PYLE	RNLO	XGSI				
WY	AACT	ABFS	EXLA	RNLO	SAIA	XGSI				

SCAC	Carrier
AACT	AAA Cooper
ABFS	ABF Freight
BXID	Brauns Express
CTII	Cental Transport
DAFG	Dayton Freight
DCHA	DC Logistics
EXLA	Estes Express
PITD	Pitt-Ohio Express
PYLE	A. Duie Pyle
RNLO	R&L Carriers
SAIA	Saia Motor Freight
SEFL	Southeastern Freight Lines
XGSI	Xpress Global

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Multiple Bill of Lading

Definition:

Any set of Collect LTL Shipments shipped on the same day to the same destination are considered to meet Multiple Bill of Lading performance if on a single Bill of Lading.

Performance Requirement: 100%

Offset:

$75 per non-compliant LTL PRO

Violation Example:

Supplier ships 4 LTL PROs collect to RDC5024 on the same date and gives each shipment its own unique PRO Number and BOL.

Parcel PO

Definition:

Parcel shipments meet Parcel PO requirements if **ONLY** 8 or 10 digit PO Number are populated in Ref1 field (including leading 0s) and **ONLY** 4 digit Store Number is populated in Ref2 field.

- **Ref1 field and Ref2 field** are required to have numeric characters, non-numeric characters such as letters and semi-colons are not valid
- Most commonly used tool is UPS Worldship (see appendix A for example)
- If shipment is not going to a THD facility, is not 8 digits, and/or is a non-merch (ex: tool rental) shipment do not use the core parcel account number
  - Non-merch parcel shipments: **Submit a support ticket** to request a non-merch parcel account number. Select **Transportation>Parcel>Request 3rd party account number**
  - Direct Fulfillment Vendor to DFC: Log on Routing Guide to obtain UPS account number. Select **Collect Shipments>Small Parcel Shipments**, 3rd party account number listed
  - Direct Fulfillment Vendor to Customer: **Submit a support ticket** to request an account number. Select **Dropship>Request 3rd party account number**

Performance Requirement: 100%

Offset:

$10 per tracking number (Offset is $10 for incorrect PO field, incorrect destination field, or both) Violation Example: A supplier ships a parcel order to a THD store, and the store number field is populated with THD#0724 **(Correct: 0724)**.

Click here to access the Supplier Performance Management application training

Data Quality Compliance (DQC)

Data Quality Compliance, managed via the **Item Data Management (IDM)** IDM Vendor Portal, is a program developed at The Home Depot to ensure data provided by suppliers adheres to all regulatory requirements, meets all content (including digital assets) requirements and reflects accurate Supply Chain data. The primary goals of the compliance program are to mitigate regulatory fines and litigation, ensure items are reflected consistently/accurately on Homedepot.com and Supply Chain data is effectively used for space, load, order and warehouse management.

Requirement:

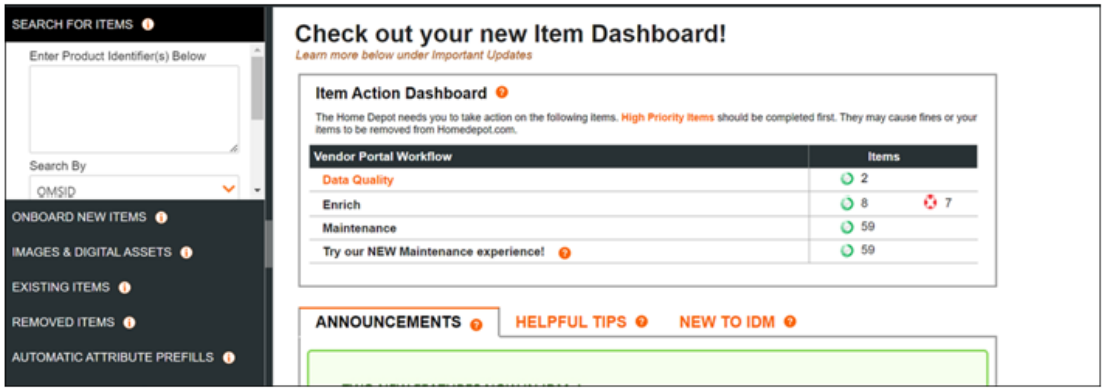
Suppliers are required to manage their Data Quality workflow weekly by reviewing the **Item Action Dashboard** located in the IDM Vendor Portal. We recommend the suppliers **review the portal at least 2 times a week to identify any open Data Quality items that require action**. Suppliers have 3 business days to resolve open items for Specs & Digital Assets and Supply Chain that enter data quality and 10 business days for Hazmat open items. If a supplier does not address their Data Quality issues within this time frame, then they are assessed Data Quality compliance fines.

All suppliers are required to input product data through IDM Vendor Portal. There are three performance metrics for Data Quality Compliance (DQC):

1. **Specs and Digital Assets (Images):** All digital images must be a 1,000 x 1,000 in measurement with a 72 resolution format and must be on a white background.
2. **Supply Chain:** Suppliers provide hierarchy detail for how the product is shipped to the retailer. The assembled dimension refers to the product after the customer assembles it. The supply chain requirements refer to the shipping dimensions for an Each, Inner Pack, Case, or Pallet.
3. **Hazmat:** In accordance with federal, state and local regulations and to ensure regulatory compliance for The Home Depot, any items that may be considered regulated or containing hazardous materials sold online and within the stores are required to undergo review by both internal and external compliance teams before completing a product approval process. Based on the type of material an item contains, its unit of measure, or other physical and chemical properties, Item Data Management will determine if your item requires classification in the WERCs Smart Portal.

Please reference the vendor knowledge base and vendor resource page of the IDM vendor portal for more details regarding the Home Depot standards by category

Item Action Dashboard Example: In the example below, there are two items that the supplier needs to action to avoid Data Quality compliance fines.



Performance Requirement: 100%

Offset:

Violations are calculated at a standard offset of $1,000 per item per week, and caps at 1 % of average weekly COGS. Compliance fines will continue to accrue until corrected in the IDM Vendor Portal.

The Data Quality Compliance offsets are posted in the SPM Tool monthly at the Items/SKUs (OMSID) level.

Violation Example:

Fiscal Week	Specs & Digital Images	Supply Chain	Hazmat	Standard Offset ($1,000/item)	1% Avg. Wkly COGS Offset	Applicable Offset
201622	2			$2,000	$101,358.51	$2,000
201621		1		$1,000	$101,358.51	$1,000
201614			18	$18,000	$73,522.16	$18,000

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DQC Contacts

Questions regarding items that remain in data quality should be addressed with the Item Data Management Team (IDM). The IDM Team can be reached by any of the methods listed below.

- Submit a Portal Ticket (Once logged into the IDM Supplier Portal, Click Submit Ticket at the top of the screen)
- Conduct a Live Chat (Mon - Fri, 9am to 7pm EST) - Once you are logged into the IDM Supplier Portal, the Chat icon will be visible at the top of the screen when agents are available to chat.

- For Hazmat specific questions please email Hazardous_Materials@homedepot.com

Essential Resources to Ensure Compliance

Visit the following documents for additional Compliance information:

- Compliance Reporting & Tools
- Compliance Calendar
- Compliance Dispute Process
- Go to Additional Resources

Still Need Support?

Click here to access Frequently Asked Questions FAQs

Program	Support Area	Contact Information
Rapid Deployment Center (RDC)	Vendor Compliance	Submit Supplier Hub ticket
Direct Fulfillment Center (DFC)		
Direct to Store (DTS)		
Data Quality Compliance (DQC)		
Transportation Compliance		
US Dropship	Online Vendor Strategy and Operations	HD.com_Dropship@homedepot.com
General Contacts	EDI 864 Business Requirements and Emails	EDI Onboarding Form or 1(877)741-0036 option 1 for Onboarding Support
	B2B Testing and Production	
	IDM	idmaccess@homedepot.com
	Routing Guide Link	http://www.routingguides.com/hd/

	Supplier Hub/Partner Profile	Submit Supplier Hub ticket
	TMS Onboarding - collect suppliers only	TMS_Onboarding@homedepot.com
	TMS PO Processing Issues - collect suppliers only	TMS_T2S@homedepot.com
	Inventory Planning & Replenishment (IPR)	Contact your IPR Analyst
	Lead Time and Vendor Turn Time (VTT)	Contact Your Merchant Planner
	Accounts Payable AKA Procurement to Pay	Submit Supplier Hub ticket
	Shipping Inquires	Contact Your THD Logistics Planner
	DFC Delivery Appointment Request Forms	The Home Depot Routing Guide

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